ECONOMICS

Paper 2281/11
Multiple Choice

Question Number	*Key*	*Question Number*	*Key*
1	**B**	21	**D**
2	**A**	22	**B**
3	**D**	23	**A**
4	**C**	24	**B**
5	**A**	25	**D**
6	**C**	26	**C**
7	**B**	27	**A**
8	**D**	28	**C**
9	**B**	29	**C**
10	**C**	30	**B**
11	**D**	31	**B**
12	**B**	32	**C**
13	**D**	33	**D**
14	**D**	34	**D**
15	**D**	35	**D**
16	**D**	36	**B**
17	**B**	37	**B**
18	**A**	38	**D**
19	**C**	39	**C**
20	**C**	40	**A**

233 candidates sat this paper. The mean mark was 24.9 which is almost the same as the mean of 25.0 last year.

The questions for which most candidates selected the correct answer were 1, 11, 12, 16, 27 and 31. These questions were answered correctly by 80% or more of the candidates. They covered different parts of the syllabus and were set to test different skills.

The questions for which the fewest candidates selected the correct answer were 2, 18, 20, 33, 35 and 38. These questions were answered correctly by fewer than 45% candidates. The rest of the questions gave results which were well within the levels expected.

Question 2 was answered correctly by 35% of the candidates, who chose A. 61% chose option B, and 4% option D. This shows a misunderstanding between the idea that capital is money and that it is an aid to further production such as a machine.

Question 18 was answered correctly by 40% of the candidates, who chose option A. 12% chose B, 33% chose C and 15% chose D. All the items can be classified as a fixed cost, which, when divided by the output

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produced gives average fixed cost. No item mentioned revenue. It is difficult to know why candidates chose B. Those who chose D were confusing variable and fixed costs.

Question 20 was answered correctly by 20% of the candidates who chose option C. 9% chose A, 57% chose B, 4% chose D. Private companies can issue shares; more than two people are needed for it to be a public company.

Question 33 was answered correctly by 16% of the candidates who chose D. 10% chose A, 9% chose B and 65% chose C. Candidates often confuse the idea of a change in inflation rate and the level of prices. In any year the inflation rate may have fallen but if the rate was positive there would still be inflation. Prices will still have risen. In the question, the inflation rate started at 5%, prices were rising. Prices then rose in years 2 and 3 so B and C cannot be correct. The government target was missed in 3 years so A cannot be correct.

Question 35 was answered correctly by 24% of the candidates who chose option D. 70% chose option B. Not all developed countries have a high rate of economic growth; indeed some developing countries have higher growth rates than some developed countries. The confusion probably arose because economic growth is thought to be an aim of developing countries as they seek to become developed.

Question 38 was answered correctly by 33% of the candidates who chose option D. 45% chose A. Free international trade means that the countries concentrate on the goods for which they are best suited to produce. There is specialisation, not diversification. Candidates obviously muddled the two ideas.

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ECONOMICS

Paper 2281/12
Multiple Choice

Question Number	*Key*	*Question Number*	*Key*
1	**A**	21	**D**
2	**D**	22	**C**
3	**D**	23	**A**
4	**B**	24	**A**
5	**B**	25	**C**
6	**C**	26	**C**
7	**B**	27	**A**
8	**D**	28	**B**
9	**A**	29	**A**
10	**C**	30	**C**
11	**B**	31	**D**
12	**B**	32	**C**
13	**A**	33	**A**
14	**D**	34	**B**
15	**D**	35	**C**
16	**D**	36	**D**
17	**B**	37	**B**
18	**D**	38	**B**
19	**B**	39	**A**
20	**A**	40	**D**

5417 candidates sat this paper. The mean mark was 28.6 which is a commendable result on the part of the candidates. It is slightly higher than the mean of 27.7 for last summer's examination.

The questions for which most candidates selected the correct answer were 1, 5, 11, 16, 17, 25, 27 and 35. These questions were answered correctly by 85% or more of the candidates. They covered different parts of the syllabus and were set to test different skills.

The questions for which the fewest candidates selected the correct answer were 9 and 33. These questions were answered correctly by fewer than 50% candidates. The rest of the questions gave results which were well within the levels expected.

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Question 9 asked about market failure which is a relatively new topic on the syllabus. 41% chose the correct answer A, 19% chose B, 21% chose C and 19% D. B was an example where the market did not fail, C was not linked to the technical analytical idea of market failure, and D was linked to long run operations of a company. Economies of scale are not necessary in order for there to be efficiency in production.

Question 33 caused the biggest problem for candidates. 80% chose D, 3% chose C, 8% chose B and only 9% chose the correct answer A. Candidates often confuse the idea of a change in inflation rate and the level of prices. In any year the inflation rate may have fallen but if the rate was positive there would still be inflation. Prices will still have risen. In the question, the inflation rate started at 10%, then rose so it would be obvious that prices rose in year 2. However, although the inflation rate fell to under 10% in year three, prices would still rise. In year 4 the inflation rate was negative, so, in that year, prices would have fallen. However, the fall in price in that year was not sufficient to counteract the rise in prices in the previous three years. Prices would not, therefore, go below the level at which they started in year 1. The lowest price level was, therefore, in year 1, and the highest in year 3 before prices began to fall.

All the other questions produced results which are within the limits expected for a paper of this level.

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Paper 2281/21
Structured Questions

Key Messages

It was pleasing to see that many of the economic terms and concepts being tested in this paper were well understood by most candidates e.g. the correct drawing and labelling of a demand / supply diagram, inflation, scarcity, opportunity cost and the functions of money. However, few candidates understood the term frictional unemployment or what was meant by full employment in **Question 5** or what was meant by an ageing population in **Question 6**. Equally, many candidates did not explain that net migration has an effect upon population growth in **Question 6**.

There is still a need for candidates to look carefully at key words in questions to ensure that they focus their answer. For example, in **Question 1(d)** candidates were required to focus their answer on developing countries and yet some candidates made no reference to a developing country in their answer. In **Question 2 (c)**, candidates were asked to use examples to distinguish between the different factors of production, yet many did not do so and gave instead the rewards for each factor which was not the question and therefore gained them no marks. In **Question 7** the focus was upon increasing exports and yet many candidates confined their answers to reducing imports. A focus on key words would help candidates to gain the best possible marks in a question.

Four of the questions - **Questions 1(d), 3(c), 4(c)** and **6(c)** were discussion questions which used the key word ***always***. The inclusion of this word effectively invited candidates to express a view or make a judgement. In many cases candidates did not reach a conclusion which meant that full marks could not be given.

General comments

Time management did not appear to be a problem with very few candidates not completing four questions. There were still a few candidates who answered more than 4 questions but it was rare to gain higher marks in the additional questions answered over and above the first 4 attempted. In a relatively few number of Centres, candidates had answered parts of questions out of order and often after attempting another question. In some cases these parts of questions were not labelled correctly which made it difficult for Examiners to mark. Some scripts were also almost illegible to read which again made it difficult for Examiners to ensure that candidates were correctly assessed.

Comments on specific questions

Section A

Question 1

(a) The majority of candidates were able to identify that workers from the primary sector would be attracted by higher wages and better employment opportunities. The most developed answers also made reference to one or more of the following: better working conditions, new skills and better promotion opportunities.

(b) There was a good understanding by most candidates that through promising employment, the Indian Government would reduce unemployment and poverty and raise living standards in the rural areas. Well-developed answers commented upon the impact on reversing the current movement of workers away from rural areas to towns and cities and improve the production of food.

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(c) A significant number of candidates were able to analyse how a rise in the rate of interest would reduce borrowing and increase savings thereby leading to lower spending which meant that firms reduced prices to increase demand, resulting in lower inflation. Others analysed this the other way round with lower interest rates resulting in higher inflation. Quite a few candidates explained the effect of both an interest rate rise and fall which was not necessary to gain full marks. A few candidates however got the relationship wrong, explaining that a higher interest rate resulted in more income from savings and therefore leading to greater expenditure and higher inflation.

(d) In this part of the question candidates were required to provide a balanced discussion on whether or not multi-national firms benefited the developing countries where they had located. Most candidates were able to give a balanced discussion on whether or not a developing economy benefited from a multi-national firm locating there. However, a few candidates did not take into account that the question required an answer which related to a developing country and therefore could not gain full marks. A few referred to the Indian economy which was not specified in the question. Another error was to discuss the benefits to the multi-national firm rather than the economy in which it was locating. Although often the discussion was correct, it was not relevant and they therefore received few marks.

Question 2

(a) Nearly all candidates understood the concept of scarcity. Answers were therefore generally well done although a number of candidates referred to scarce resources rather than limited or finite resources in their answer. A few did not develop their response to state that the outcome is that a choice has to be made or that there was an opportunity cost.

(b) The concept of opportunity cost was well understood and relevant examples were given by most candidates.

(c) Most candidates were able to correctly identify at least three of the factors of production. However in some Centres candidates stated that the fourth factor was entrepreneur which is not correct as it should have been enterprise with entrepreneur given as the example. Quite a few candidates did not give examples and instead wrote about the rewards to each factor. There were also common errors made in examples given. Many candidates wrongly gave as their example for land the location where production took place rather than natural resources. Similarly with the factor of production capital, money or finance was wrongly given as an example.

(d) Most candidates understood the concept of conservation. Well-developed answers were able to explain both the short-term and long-term effects of conservation and provide a balanced discussion for and against conservation. This often involved reference to sustainability of resources and whether or not they were renewable. Some candidates gave examples from their own country which is always welcomed by Examiners although in some cases where the home country had large oil and gas reserves there was a focus on using the natural resources to raise the standard of living in the country and responses lacked balance.

Question 3

(a) There was a much better response to this question than to similar ones in recent years. Most candidates were able to explain at least three of the functions, with a few surprisingly not mentioning the function of medium of exchange. There were relatively few responses which wrote about the properties or characteristics of money or described money in a very general way.

(b) An encouragingly high proportion of candidates correctly drew and labelled a demand and supply diagram which showed a shift in the demand curve to the right. There were few incorrect diagrams although sometimes the new equilibrium was not identified. Most errors showed an increase in supply resulting in lower wage rates. The explanation given was often not as good as the diagram, and was simplistic in that it referred to a shift in the demand curve and the new equilibrium point which is not an explanation but a description of the diagram. Good answers could be short in explaining that the increase in demand would result in wages rising along with an increase in supply of workers attracted by the higher wages. Some candidates did not mention an increase in supply although it was clearly shown in the diagram as the shift from Q to Q1.

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(c) The key word in this question was ***always*** but few candidates reflected this in their answers. The majority of candidates were able to explain well why skilled workers were paid more although only a few explained it in terms of productivity or elasticity of demand / supply. Quite a few candidates drew demand/supply diagrams to illustrate why skilled workers were paid more but in some cases the elasticity of demand and supply were almost the same. Many candidates were weaker in identifying why some unskilled workers would be paid more. The most common reasons given were discrimination and length of service. Some very good answers explained that unskilled workers in a developed country may receive higher wages than skilled workers in a developing country which was why some skilled workers emigrated from developing countries.

Question 4

(a) Most candidates understood that becoming a public company enabled its shares to be bought and sold on the stock exchange and that they were able to raise additional funding for expansion. However for some candidates there was confusion over whether a public company was owned by the state. Equally there was confusion over limited liability with a number of candidates explaining that private limited companies do not have limited liability. Another relatively common error was to apply a maximum number of private shareholders e.g. the numbers usually applied to partnerships. Relatively few candidates made the point that in private firms shares could only be sold with the permission of existing shareholders.

(b) Most candidates were able to explain why firms would want to make profits, but few wrote about profit maximisation. Few mentioned other goals a firm may have such as survival or sales maximisation. However, the majority of answers identified at least one reason why firms needed profits e.g. for expansion, for reinvestment in research and development or as reward to shareholders and senior managers. A common error was to confuse profit with revenue as quite a few candidates explained that profits were used to pay wages or buy raw materials.

(c) In this part of the question candidates were required to discuss whether or not firms always benefited from growth in size. Most candidates showed a good understanding of economies and diseconomies of scale arising from growth. In the discussion there was often a good balance between advantages and disadvantages. However, some candidates were not clear that economies of scale meant a fall in the average cost as output rose. Some mistakenly explained it in terms of falling costs. Well-developed answers often gave a conclusion for example a comment that the extent of the benefits might depend on the industry the firm was in.

Question 5

(a) There were some very good answers on the types of goods and services that governments might provide. Many candidates made reference to merit and public goods although this is not in the syllabus and full marks could be obtained without reference to them. Most candidates were able to make the point that the governments often provided goods that were either not provided by private firms or the price charged was too expensive for people on low incomes. Public utilities were often given as examples of a service provided by governments.

(b) The term full employment is not understood by many candidates. Some confused the term with individuals working full time. Others could explain it in very general terms of it being one of the objectives that a government might have. Some expressed it as a percentage of the total workforce without work e.g. 3%.

(c) It was disappointing to see the large number of candidates that incorrectly described frictional unemployment, although most candidates were accurate in their understanding of structural unemployment. Because of this misunderstanding about frictional unemployment this meant that candidates often were unable to differentiate the effect of being frictionally unemployed rather than structurally unemployed on the individual. Frictional unemployment is normally of shorter duration than structural unemployment and is usually due to the individual seeking to change jobs. Again in discussing the effect on the economy, many candidates failed to show the different impact that frictional unemployment might have compared with structural unemployment and answers tended to be generic.

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Question 6

(a) Most candidates were able to explain why differences in birth rate and death rate caused population growth rates to differ. The more developed answers gave details of the factors that influenced these rates. However, only a small number of candidates mentioned net migration as a factor and of those that did, the reasons given were often limited in their development.

(b) The responses to this part of the question were disappointing. Often the response was to list a range of features such as education and health with very little development. Some repeated the demographic features explained in part **(a)**. The approach suggested that many candidates felt they had to name as many features as possible rather than explain in more depth a limited number of features. Some candidates may have misinterpreted the question as meaning countries that were in the process on becoming developed rather than already developed.

(c) Candidates were asked to discuss whether or not an ageing population was always an economic problem. Overall the responses to this part of the question were poorly developed. This was probably because far too often "ageing population" was interpreted as a large proportion of old people rather than the fact that the average age was rising. Thus the focus tended to be on the additional costs to the government of providing additional services for the aged e.g. health, housing, pensions and the financial impact upon those working and in some cases this resulted in rather one-sided answers. However, there were some interesting comments on whether or not there were benefits. Clearly in some societies older persons are respected for their experience and skills and the support they give within extended families. Generally speaking most candidates failed to address whether an ageing population was always a problem, tending to explain why it was or was not.

Question 7

(a) Most candidates understood that the current account included the trade in goods and services and were able to explain the difference between imports and exports. However, only a few also referred to income flow and current transfers, although those that did understood these terms well.

(b) Most answers stated that a current account deficit was due to the value of imports being greater than the value of exports. The better developed answers explained what could cause imports to rise and/or exports to fall or grow more slowly than imports. Inflation was often mentioned but often not in the context of the rate of inflation in other countries. Some candidates also wrote about the relative quality of domestically produced goods and services.

(c) The answer to this part of the question was often disappointing. Many candidates interpreted the question as addressing a balance of payments deficit and wrote in depth on how to reduce imports through tariffs, quotas and embargoes for example which gained no marks. However, those that did look at policies to increase exports often referred to government subsidies to encourage increased production and the devaluation or depreciation of the currency to make goods and services cheaper. Some really good answers also wrote about improving the skills of the workforce and entering into trade agreements with other countries to increase trade between them.

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Paper 2281/22
Structured Questions

Key Messages

Candidates need to focus clearly on the command or directive word used in each question. For example, some questions required candidates to **identify** (as in **Question 5 (a)**), whereas other questions required candidates to **analyse** (as in **Questions 1 (b), 2 (b)** and **4 (c)**) or **discuss** (as in **Questions 1 (d), 2 (c), 3 (c), 5 (d), 6 (c)** and **7 (c)**). These command or directive words give a clear indication of what candidates are required to do in the examination and this is reflected in the number of marks allocated to these different parts of questions.

Candidates are required to answer **Question 1** in ***Section A*** and then three questions from ***Section B***. A few candidates, however, answered all seven questions and this substantially reduced the time that they could allocate to each.

General Comments

It was very pleasing to see many good answers from a number of candidates who successfully demonstrated a sound knowledge and understanding of economics and a sensible and mature ability to describe, explain, analyse and discuss a number of key economic concepts and issues.

Where candidates are required to use a demand and supply diagram (as in **Question 3 (a)**), they should ensure that these are drawn as accurately and as carefully as possible and that all parts of the diagram are labelled correctly.

Comments on specific questions

Question 1

(a) The majority of candidates were able to identify at least one piece of evidence from the extract to suggest that China was planning to move from a fixed to a floating exchange rate, such as the comment from the spokesperson for the People's Bank of China, the belief of economists or the statement by the President of the US. Relatively few candidates, however, provided a second piece of evidence.

(b) A number of candidates provided an appropriate analysis of the effect of a rise in the external value of the yuan in terms of making exports more expensive and imports less expensive, leading to a reduction in China's current account surplus. Unfortunately, relatively few candidates developed their analysis to include a consideration of the importance of price elasticity of demand to the likely change in the current account surplus.

(c) Many candidates demonstrated an understanding of the potential impact of a current account surplus on other countries, pointing out that one country's surplus is another country's deficit. There were some good answers that considered the potential impact of this situation on US firms.

(d) The majority of candidates were able to demonstrate a sound knowledge and understanding of the different forms of trade protection, such as tariffs, quotas and subsidies, but they did not always go on to discuss fully the extent to which such measures could correct a balance of trade in goods and services deficit. Candidates need to understand that when a question asks 'discuss the extent' of something, they need to go beyond a purely descriptive approach.

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Question 2

(a) The majority of candidates were able to explain what was meant by the factor of production called land in terms of the natural resources used in production, and included appropriate examples, such as coal, oil or gold.

(b) Many candidates demonstrated a sound understanding of the differences between labour-intensive production and capital-intensive production and were able to analyse why a firm might decide to change from one to the other, such as to improve productive efficiency. Some candidates, however, simply offered a description of the two types of production without really analysing the possible reasons for a change from one to the other.

(c) Many candidates were able to offer a balanced response to this question, contrasting the possible advantages and disadvantages of a newly established firm expanding into foreign markets. Some candidates, however, did not focus sufficiently on the fact that such a firm would have limited resources.

Question 3

(a) Candidates were required to draw a demand and supply diagram which showed a shift of the demand curve to the left (indicating the significant increase in income tax) and a shift of the supply curve to the right (indicating the building of extra houses). They also needed to indicate the change in the equilibrium position in response to these two shifts. Many candidates gained full marks for clearly showing what had happened in the market, but some made errors, such as confusing demand and supply and/or price and quantity.

(b) Many candidates were able to provide a good explanation of the various influences on the demand for houses, such as income and the price of houses, but some candidates, instead of offering an explanation, provided simply a list of possible influences without explaining any of them. Such an approach limited the number of marks that could be awarded.

(c) There were some very good answers to this part of the question, with candidates making a genuine attempt to contrast the various arguments for and against house building by the public and private sectors. Many candidates came to the conclusion that a mixture of the two was probably the better solution.

Question 4

(a) There were a number of very good answers to this part of the question, with candidates providing a useful explanation of why it might be better for individuals to use money rather than barter, especially given the fact that the latter required a double coincidence of wants. Some candidates, however, did not focus sufficiently on the question and wrote more generally on the functions and characteristics of money. It is vitally important that candidates concentrate on answering the particular question that is being asked in an examination.

(b) The majority of candidates demonstrated a good awareness of the functions that commercial banks perform in an economy, although some of them provided a list, rather than a description, of such functions. A few candidates, unfortunately, misunderstood what the question was asking and wrote about the functions of central, rather than commercial, banks.

(c) There were some very good answers to this part of the question, with candidates offering an intelligent analysis of why some individuals might be more likely to borrow money than others, such as for family or education reasons. Some candidates, however, wrote a very general answer on borrowing without really focusing on the actual question being asked.

Question 5

(a) There were some very good answers to this part of the question with candidates demonstrating a sound understanding of the differences between a partnership and a company. To gain full marks, however, candidates needed to state that there were actually two types of company, a private limited company and a public limited company.

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(b) The majority of candidates were able to offer a good explanation of why a firm's profits might increase, taking into account both revenue and costs. Some candidates, however, focused on just revenue or costs, but not both.

(c) Most candidates were able to demonstrate a sound understanding of internal economies of scale, but there was quite a lot of confusion as to the meaning of external economies of scale, with a number of candidates thinking that this referred to the methods of expansion of a firm rather than the cost advantages of an industry or a particular geographical area, rather than a firm.

(d) There were some very good answers to this part of the question, with candidates recognising that although some small firms might eventually become large firms, it was not necessarily the case that this would apply to all of them.

Question 6

(a) A number of candidates produced some very good answers to this part of the question, providing thorough explanations of the possible cause of inflation, especially in relation to demand-pull and cost-push influences.

(b) The majority of candidates were able to distinguish clearly between structural unemployment, which would relate to a loss of jobs in particular industries as a result of structural changes in the economy, and demand-deficient or cyclical unemployment, which would relate to a loss of jobs in the whole economy as a result of fall in the level of aggregate demand, such as at a time of recession.

(c) Candidates were able to demonstrate an understanding of the meaning of the term 'economic growth' and then go on to discuss whether it was always possible for a government to achieve a high rate of growth. Many of the answers were well balanced, offering a consideration of the various factors that could encourage and hinder growth.

Question 7

(a) Many candidates were able to offer a description of the possible factors that could affect a country's death rate, such as the housing conditions or the availability and quality of medical care, but some were unable to provide a clear definition of the term 'death rate' in relation to the number of people in a country dying per thousand of population over a given period of time (usually one year).

(b) A number of candidates offered very general answers to this part of the question, making vague comments about a country having too many people, without focusing on the link with available resources in an economy.

(c) There were some very good answers to this part of the question, with candidates offering a useful discussion of whether the population problems found in the developing world were the same as those found in the developed world. It was clear from many of the answers that candidates had a good understanding of population issues in the two types of economy. Some candidates, however, did not focus sufficiently on 'population', writing very generally about the differences between developing and developed countries.

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